Recurring month-end expense-report corrections

This synthetic dataset follows manual corrections to an operating expense report between April and September 2026. It contains 55 adjustments, with 17.6 hours of recorded preparation time.

Method
-to be added with Oscar's help

Conclusions

The analysis of month-end corrections in this case study shows that most of the recurring corrections to department expenses looks to be caused by system or report configurations, procedural delays and budget-to-actual corrections. Corrections in the period covered by this case study cost a total of 2.85 hours - time involved in July was even higher at 3.35 hours.
When the system, reports or processes are the underlying reason for corrections, amending configurations or workflows may result in substantial savings of time required to perform identification, analysis and implementation of corrections.

Recommendations

Late invoices: coordinate approval, posting, closure and extraction

- invoices were received before the monthly snapshot extract, but approved and posted afterwards

Duplication: correct the report join

- suppliers may have multiple active contacts; the join between expense lines and supplier information produces multiple rows for one source line

Configuration updates: coordinate approval and implementation

- updates in system and report configurations following report analyses are evaluated and approved for implementation but the execution is not performed before the next reporting window

Monitor utilities estimates/budgeting

- in the six month' period covered by this case study, the warehouse's total adjustment amounts to £13,725, about 37% of its £37,095 net correction
- cost relating to utilities can vary seasonally or for other reasons but introducing an accrual for expected/budgeted costs based on historic data may improve insight in expected results as well as variations

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The initial analysis covers how much is corrected, how long corrections take and total amounts of corrections.
We also look at how corrections affect the various departments in the business and how many corrections are made each month.

Department	Initial cost in GBP	Correction impact in GBP	Revised cost in GBP	Correction impact % of initial cost
Administration	791,135.63	-3,855.00	787,280.63	-0.49%
Sales support	806,228.54	375.00	806,603.54	0.05%
Transport	781,337.04	7,665.00	789,002.04	0.98%
Warehouse	789,299.94	37,095.00	826,394.94	4.70%
Total	**3,168,001.15**	**41,280.00**	**3,209,281.15**	**1.30%**

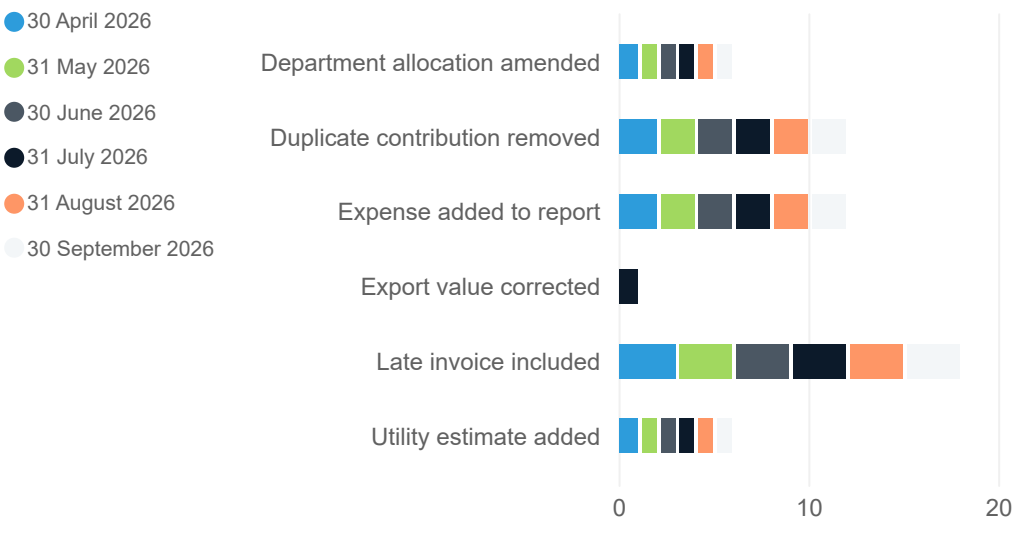
Period End ▲	Adjustment count	Correction hours
30 April 2026	9	2.85
31 May 2026	9	2.85
30 June 2026	9	2.85
31 July 2026	10	3.35
31 August 2026	9	2.85
30 September 2026	9	2.85

With the impact of corrections limited to 1.3% of the total of the value before corrections, it is tempting to take month-end corrections as something that 'just needs to be done'. When looking at the time involved checking balances against the underlying paperwork, when each month someone is spending 2.85 hours making 9 corrections, it could be well worth the while to take a second look.

To prepare for that deeper investigation, we look at what the reasons are for corrections. The initial analysis examines how often corrections occur, their effect on reported expenses and the preparation time recorded against them.
The net correction increases reported expenses by £41,280, approximately 1.3% of the initial total. That percentage alone reveals little about the work involved: additions and reductions offset, while department reallocations have no net effect on the company total.
The frequency shows a consistent pattern. Nine adjustments recur every month, requiring 2.85 hours of preparation. July includes one additional export-value correction, bringing that month to ten adjustments and 3.35 hours.

Five recorded reasons appear in all six months. This repetition provides a starting point for investigation, but does not establish that every recurring adjustment is avoidable. The next step is to trace selected corrections to their supporting records and understand why they remain necessary.

Recorded Reason	Adjustment count ▼	Correction impact in GBP
Late invoice included	18	33,585.00
Duplicate contribution removed	12	-14,130.00
Expense added to report	12	7,650.00
Department allocation amended	6	0.00
Utility estimate added	6	13,725.00
Export value corrected	1	450.00
Total	**55**	**41,280.00**



The deeper analysis looks at what explains the recurring corrections, which are necessary, and what changes to reporting, working practices or staff guidance could reduce avoidable rework?

Recurring month-end expense-report corrections

Before attributing cause to individuals, we take a closer look at types of corrections . Some recurring corrections could be expected, such as budget-to-actual amendment of utility costs. Other corrections could possibly be prevented by a correction of system/report configuration or improving procedures.

Department	Record Type	Observation	Evidence Code	Impact in GBP	Boundary
Transport	Invoice workflow review	Three recurring supplier invoices were received before extraction but approved and posted afterwards. Approval inbox reviewed after the report run.	E02	15630	Check approval routing, cover and report timing before attributing cause to an individual.
Warehouse	Close procedure	Monthly utility estimate is an authorised report-only accrual pending invoice. Record estimate and approval each month.	E06	13725	Recurring adjustment is expected. This case study does not include subsequent settlement or reversal.
Warehouse	Invoice workflow review	Three recurring supplier invoices were received before extraction but approved and posted afterwards. Approval inbox reviewed after the report run.	E02	11865	Check approval routing, cover and report timing before attributing cause to an individual.
Warehouse	Coding instructions review	An active template codes a recurring site cost to D04. Approved allocation on each invoice specifies D01.	E05	8100	Template instruction remains unchanged at September snapshot.
Sales support	Invoice workflow review	Three recurring supplier invoices were received before extraction but approved and posted afterwards. Approval inbox reviewed after the report run.	E02	6090	Check approval routing, cover and report timing before attributing cause to an individual.
Administration	Report configuration review	Account A699 is absent from the expense-report account inclusion list. Source costs remain present in the expense register.	E03	4245	Configuration version EXP_1.4 used for all six extracts. No implementation evidence of a fix.
Warehouse	Report configuration review	Account A699 is absent from the expense-report account inclusion list. Source costs remain present in the expense register.	E03	3405	Configuration version EXP_1.4 used for all six extracts. No implementation evidence of a fix.
Transport	Report export incident	A single line was keyed incorrectly in an export staging file. Signed correction restores the source amount.	E07	450	One-off incident in July. No evidence of repetition in this dataset.
Sales support	Report join review	Freight enrichment joins SupplierID to a contact table. Two suppliers each have two active contacts, producing two contribution rows for affected lines.	E04	-5715	Check row counts and grain before changing source invoices.
Administration	Coding instructions review	An active template codes a recurring site cost to D04. Approved allocation on each invoice specifies D01.	E05	-8100	Template instruction remains unchanged at September snapshot.
Transport	Report join review	Freight enrichment joins SupplierID to a contact table. Two suppliers each have two active contacts, producing two contribution rows for affected lines.	E04	-8415	Check row counts and grain before changing source invoices.
Total				**41280**	

Recurring month-end expense-report corrections

Following the analysis of Evidence Codes and impact, a further analysis is applied to duplication, late invoice additions and total departmental corrections. The below visuals only reflect corrections for the April and August month-ends.

Late invoice addition

SourceLineID	Received Date	Approved Date	Posted Date	Extract Timestamp	Recorded Reason
EXP0001	01 May 2026	06 May 2026	07 May 2026	05/05/2026 09:00:00	Late invoice included
EXP0002	01 May 2026	06 May 2026	07 May 2026	05/05/2026 09:00:00	Late invoice included
EXP0003	01 May 2026	06 May 2026	07 May 2026	05/05/2026 09:00:00	Late invoice included
EXP1201	01 September 2026	03 September 2026	04 September 2026	02/09/2026 09:00:00	Late invoice included
EXP1202	01 September 2026	03 September 2026	04 September 2026	02/09/2026 09:00:00	Late invoice included
EXP1203	01 September 2026	03 September 2026	04 September 2026	02/09/2026 09:00:00	Late invoice included

Duplicate entries

SourceLineID ▲	Report Row Count	Correction impact in GBP	Initial cost in GBP	Revised cost in GBP	Correction impact % of initial cost
EXP0006	2	-1,340.00	2,680.00	1,340.00	-50.00%
EXP0007	2	-890.00	1,780.00	890.00	-50.00%
EXP1206	2	-1,440.00	2,880.00	1,440.00	-50.00%
EXP1207	2	-990.00	1,980.00	990.00	-50.00%
Total	**8**	**-4,660.00**	**9,320.00**	**4,660.00**	**-50.00%**

Visual 1 - Evidence Code E02:
Invoices were added to the system after the monthly snapshot was extracted.

Visual 2 - Evidence Code E04:
Potential report configuration error - multiple active contacts for a freight supplier produces multiple lines for single cost entries.

Other observations pointing at system/report configurations:

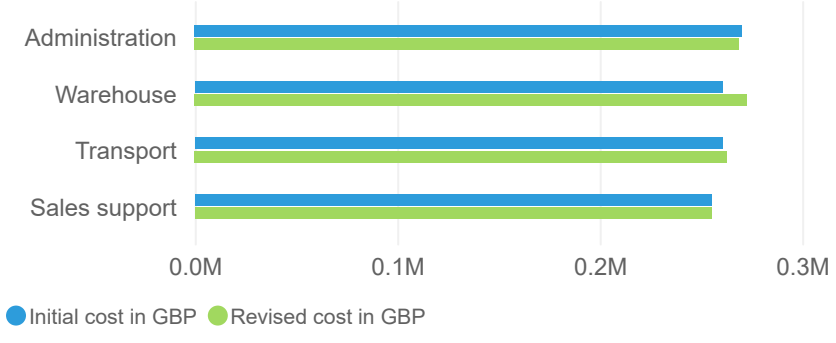
Evidence Code E05 identifies the correction of £8100 in total between expense codes. A correction to the coding template was suggested but had not been implemented at the September snapshot.

Evidence Code E03 identifies the absence of an account in the report. An updated configuration was created but not yet implemented at the September snapshot.

Expected corrections

Evidence Code	Department	Period	Initial cost in GBP	Correction impact in GBP	Observation ▲
E06	Warehouse	01 April 2026		2,100.00	Monthly utility estimate is an authorised report-only accrual pending invoice. Record estimate and approval each month.
E06	Warehouse	01 August 2026		2,400.00	Monthly utility estimate is an authorised report-only accrual pending invoice. Record estimate and approval each month.
Total				**4,500.00**	

Initial cost in GBP vs Revised cost in GBP
by Department



Department	Initial cost in GBP ▼	Correction impact in GBP	Revised cost in GBP	Correction impact % of initial cost
Administration	270,177.15	-1,280.00	268,897.15	-0.47%
Warehouse	260,690.21	12,160.00	272,850.21	4.66%
Transport	260,511.91	2,460.00	262,971.91	0.94%
Sales support	255,156.02	130.00	255,286.02	0.05%
Total	**1,046,535.29**	**13,470.00**	**1,060,005.29**	**1.29%**